National
Qualifications
2016

2016 Accounting

Higher

Finalised Marking Instructions

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General Marking Principles for Higher Accounting

This information is provided to help you understand the general principles you must apply when marking candidate responses to questions in this paper. These principles must be read in conjunction with the detailed marking instructions, which identify the key features required in candidate responses.

(a) Marks for each candidate response must always be assigned in line with these General Marking Principles and the Detailed Marking Instructions for this assessment.

(b) Marking should always be positive, ie marks should be awarded for what is correct and not deducted for errors or omissions

(c) If a specific candidate response does not seem to be covered by either the principles or detailed Marking Instructions, and you are uncertain how to assess it, you must seek guidance from your Team Leader.

(d) Consequentiality subsequent to a calculative error must be followed through, with credit being given for any errors in subsequent calculations or working.

(e) Scored out or erased working which has not been replaced should be marked where still legible. However, if the scored out or erased working has been replaced, only the work which has not been scored out should be marked.

(f) **(i)** For questions that ask candidates to "Describe …"

Candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation.

Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question:

1 mark should be given for each relevant factual point.
1 mark should be given for any further development of a relevant point, including exemplification when appropriate.

(ii) For questions that ask candidates to "Outline …"

Candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics.

Up to the total mark allocation for this question:

1 mark should be given for each accurate statement.

Marking Instructions for each question

Section 1

<table>
<tr><th colspan="3">Question</th><th>Expected Answer(s)</th><th>Max Mark</th><th>Additional Guidance</th></tr>
<tr><td>1.</td><td>(a)</td><td>(i)</td><td>
<table>
<tr><th></th><th>Basic</th><th>Delux</th><th>Super Delux</th><th>Total</th></tr>
<tr><td>Hrs per Unit</td><td>2</td><td>5</td><td>5</td><td></td></tr>
<tr><td>Units Demanded</td><td>5,000</td><td>5,500</td><td>6,500</td><td></td></tr>
<tr><td>Hours at 80% capacity</td><td>10000</td><td>27500</td><td>32500</td><td>70,000 Hrs 1</td></tr>
</table>
2
</td><td>3</td><td>2 marks for the hours for the 3 products, if 2 correct and one incorrect award 1 mark.

1 mark for the total hours.</td></tr>
<tr><td></td><td></td><td>(ii)</td><td>
<table>
<tr><td>Selling Price</td><td>£150</td><td></td><td>£200</td><td></td><td>£260</td><td></td><td></td><td></td></tr>
<tr><td>Less Variable Cost</td><td>£110</td><td></td><td>£165</td><td></td><td>£215</td><td></td><td></td><td></td></tr>
<tr><td>Contribution Per Unit</td><td>£40</td><td>1</td><td>£35</td><td>1</td><td>£45</td><td>1</td><td></td><td></td></tr>
<tr><td>Units Demanded</td><td>5,000</td><td></td><td>5,500</td><td></td><td>6,500</td><td></td><td></td><td></td></tr>
<tr><td>Contribution per Product</td><td>£200,000</td><td></td><td>£192,500</td><td></td><td>£292,500</td><td></td><td>£685,000</td><td>1</td></tr>
<tr><td>Fixed Costs</td><td></td><td></td><td></td><td></td><td></td><td></td><td>£450,000</td><td></td></tr>
<tr><td>Profit - Year 1</td><td></td><td></td><td></td><td></td><td></td><td></td><td>£235,000</td><td>1</td></tr>
</table>
</td><td>5</td><td>Award marks for correct Contribution per Product if Contribution per Unit is not shown.</td></tr>
</table>

Question			Expected Answer(s)					Max Mark	Additional Guidance
	(b)	(i)	80% Capacity in Year 1 = 70,000 Year 2 = 100% Capacity = 87,500 **1**					**1**	Consequential to 1(a)(i).
		(ii)		Basic	Delux	Super-Delux		**6**	2 marks for calculating contribution per machine hour for product. Award mark lost, 1 each to a maximum of 2. If quantities calculated not based on Contribution per Machine Hour Limiting Factor all award marks lost.
			Contribution per unit	£40	£35	£45			
			Machine hours per unit	2	5	5			
			Contribution per machine Hour	£20	£7	£9	**2**		
			Order of priority	1st	3rd	2nd	**1**		
			Hours available		87,500				
			Hours required for Basic (6,500 x 2)		13,000				
			Hours remaining		74,500				
			Hours required for Super Delux (8,000 x 5)		40,000				
			Hours remaining		34,500				
			Units of Delux (34,500 / 5)		6,900 units				
			Units produced	6,500	6,900	8,000			
					2				
					1				

Question			Expected Answer(s)					Max Mark	Additional Guidance
		(iii)		Basic	Delux	Super-Delux	Total	**5**	3 marks for total contribution, any incorrect contribution for individual product, award mark lost 1 each. Accept consequential answers from (ii).
			Units	6,500	**6,900**	8,000			
			CPU	£40	£35	£45			
			Total Cont	£260,000	£241,500	£360,000	£861,500 **3**		
			Less FC				£540,000 **1**		
			Profit				£321,500 **1**		

Question			Expected Answer(s)							Max Mark	Additional Guidance
	(c)									**12**	If no limiting factor used then Contribution per machine hour and order of priority award marks lost. Thereafter treat as consequential.
			Ultimate Delux								
			Selling Price		£300						
			Variable Costs	175+60+25	£260		**1**				
			Unit Contribution		£40		**1**				
			Contribution per machine hour		£40 / 5 = £8		**1**				
			New machine capacity - Year 3		105,000		**1**				
				Basic	**Delux**	**Super Delux**	**Ultimate Delux**				
			Contribution per machine hour	£20	£7	£9	£8				
			New order of priority	1st	4th	2nd	3rd	**1**			If Order of Priority used correctly within Profit Statement, then award one mark for implied New Order of Priority.
			Hours Available		105,000						
			Hours for Basic (6,500 x 2)		13,000						
			Hours Left		92,000						
			Hours for Super Delux (8,000 x 5)		40,000						
			Hours Left		52,000						
			Hours for Ultimate Delux (5,500 x 5)		27,500						
			Hours Left for Delux		24,500						
			Units of Delux (24,500 / 5)		4,900	**3**					
			Product Units	6,500	4,900	8,000	5,500				
			Contribution per unit	40	35	45	40				Machine hours x contribution per machine hour acceptable.
			Contribution per product	£260,000	£171,500	£360,000	£220,000				
			Total contribution				£1,011,500	**1**			
			Fixed Costs				£585,000				
			Profit - Year 3				£426,500	**1**			
			Elegant Enterprises should make the new product (**1**) as profit will increase by (£426,500 - £321,500) £105,000 (**1**)								Award 1 mark for correct advice and 1 mark for the financial reasoning.

Question			Expected Answer(s)	Max Mark	Additional Guidance
	(d)		Special Order – Ultimate Delux Selling price 280 Less Variable Costs 260 Contribution per unit 20 **1** Hours for Ultimate Delux Special Order 2,000 x 5 = 10,000 hours Increased Contribution 2,000 x 20 = £40,000 **1** Therefore units decrease for Delux 10,000 / 5 = 2,000 units Decreased Contribution 2,000 x 35 = £70,000 **1** Decreased Profit 70,000 – 40,000 = 30,000 New Profit 426,500 – 30,000 = 396,500 **1** Elegant Enterprises should **reject** (**1**) the special order as profits will decrease by £30,000 (1)	**6**	Candidates may calculate this in a number of ways. New profit and accept/reject must be indicated.
	(e)		• The opportunity cost represents the amount of contribution lost by making less of an existing product. **(1)** • Opportunity cost is the cost of not producing the next best option. **(1)** • The actual cost of making the new product will include the 'extra' or opportunity cost equal to the contribution lost. **(1)** • Relevant example eg the loss of contribution from Delux if choosing to make Ultimate Delux **(1)** **Any 2 relevant points.**	**2**	Accept economics explanation and example.

Section 2

Question			Expected Answer(s)	Max Mark	Additional Guidance

2 (a) (i) (ii)

		Rate	Total	Machining	Assembly	Finishing	Canteen	Maintenance	
Total Overheads	Total OH		£146,400	£26,000	£66,400	£20,000	£16,000	£18,000	
Reapportion maintenance	Direct machine hours	0.50	£18,000	£11,000	£5,000	£2,000			**2**
Reapportion canteen	No of employees	£250	£16,000	£7,000	£5,000	£4,000			**2**
Total Departmental overheads				£44,000	£76,400	£26,000			**1**

(i) 2 marks for reapportionment of maintenance and 1 mark for total departmental overheads
(ii) 2 marks for reapportionment of canteen

(b) (i) (ii) (iii)

Machining	£44,000	22,000	**£2.00** per machine hour	**1**
Assembly	£76,400	£38,200	**200%** of direct materials	**1**
Finishing	£26,000	20,000	**£1.30** per labour hour	**1**

If £ sign/% not shown, lose 1 mark on first occasion

3

(c)

			Overheads Absorbed	Actual Overheads			Over/Under	
Machining	24000	£2.00	£48,000.00	£43,800	£4,200.00	**1**	over absorbed	✓ *
Assembly	35000	200%	£70,000.00	£74,500	-£4,500.00	**1**	under absorbed	✓
Finishing	17,500	£1.30	£22,750.00	£23,800	-£1,050.00	**1**	under absorbed	**1**

(4)

*** Only accept over/under as consequential if estimated overheads used instead of Actual Overheads**

Question			Expected Answer(s)	Max Mark	Additional Guidance
	(d)				If Direct Machine Hours included award only 1 mark for correct Profit. Overheads should be based on candidates overhead rates calculated in (b). If VAT included before Profit award only 1 mark for correct Profit, ignore VAT if after Profit. If selling price is incorrect or missing award 1 mark for profit. If arithmetic error, award 1 mark for profit.

Quotation for Job 33C				
	£		£	
Materials				
Machining	80.00			
Assembly	40.00			
Finishing	4.00		124	**1**
Labour				
Machining	72.00			
Assembly	96.00			
Finishing	85.00		253	**1**
Prime Cost			377	
Overheads:				
Machining (**£2** x 20)	40.00	**1**		
Assembly (**200%** x £40)	80.00	**1**		
Finishing (**£1.30** x 10)	13.00	**1**	133.00	
Total cost			510.00	
Profit (Total cost / 4)			127.50	**2**
Selling Price			637.50	

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	(e)		• An apportionment of overheads takes place when the overhead cost cannot be identified with a particular department whereas an allocation of overheads takes place when the overhead cost can be identified with a particular department/it is a cost which is unique to that particular department and the department is charged with the actual overhead it has incurred.	**1**	Candidates must correctly explain apportionment **and** allocation to gain the mark.

Question			Expected Answer(s)	Max Mark	Additional Guidance
3	(a)		**Manufacturing Account for the year ended 31 December Year 8** ✓	**13**	

	£000's		£000's	
Opening Inventory of Raw Materials			20	✓
Add Purchases of Raw Materials	160	✓		
Less Purchases Returns Raw Materials	15	*1*	145	
			165	
Less Closing Inventory of Raw Materials			22	*1*
Cost of Raw Materials Consumed ✓			143	
Add **Direct Costs**				
Production Wages (95 + 5)	100	*1*		
Royalties	52	*1*	152	
Prime Cost ✓			295	
Add **Factory Overheads**				
Factory Repairs	10	✓		
Factory Rates	12	*1*		
Salaries (75% * 44)	33	*1*		
General Expenses (75% * £24)	18	*1*		
Lighting and Heating (3/5 * £20)	12	*1*		
Insurance (3/5 * (17-2))	9	*1*		
Depreciation:				
Factory Machinery (20% * (120-20))	20	*1*		
Motor Vehicles (1/5 * (10% * 50))	1	*1*	115	
			410	
Add Work-In-Progress 1 January Year 8			35	✓
			445	
Less Work-In-Progress 31 Dec Year 8			26	*1*
Manufacturing/Factory Cost of Production ✓			419	
Manufacturing/Factory Profit ✓			41	*1*
Market Price of Finished Goods (100,000 * £4.60)		£	460	

If Direct Costs are treated as Factory Overheads award mark lost.

If Factory Overheads are treated as Direct Costs lose label award and also Factory Overheads award marks (max 2).

Question			Expected Answer(s)	Max Mark	Additional Guidance
	(b)		**Income Statement for the year ended 31 December Year 8** ✓ £000's £000's £000's Sales Revenue 640 Less Sales Returns 20 620 ✓ Less **Cost of Sales** Opening Inventory of Finished Goods 15 ✓ Add Market Price of Finished Goods 460 *1* Add Purchases of Finished Goods 70 ✓ Add Carriage In on Finished Goods 2 *1* 532 547 Less Closing Inventory of Finished Goods 19 *1* Cost of Sales (Goods Sold) 528 **Warehouse Expenses** Add Wages 30 *1* 558 **Gross Profit** ✓ £ 62 *1* Headings, labels, no extraneous items and arithmetic for both financial statements are included in the 6 marks for Income Statement ✓ **1**	**6**	Accept: Manufacturing/Factory Cost of Production if no Manufacturing/Factory Profit is calculated in Manufacturing Account.
	(c)		The manufacturing/factory profit is **added to Gross Profit**.	**1**	

Question			Expected Answer(s)	Max Mark	Additional Guidance
4	a	(i)	**Partnership Appropriation Account for year ended Year 1✓** £ £ Profit for the Year 35,000 **1** **Add** Interest on Drawings: C McKay (50,000 x 20%) x 2% 200 ✓ S Cahill (25,000 x 20%) x 2% 100 **1** 300 35,300 **Less** Interest on Equity C McKay (50,000 x 5%) 2,500 ✓ S Cahill (25,000 x 5%) 1,250 **1** 3,750 31,550 Partnership Salary - C McKay 5,000 **1** Share of Profit 26,550 C McKay (26,550/3) x 2 17,700 ✓ S Cahill (26,550/3) 8850 **1** 26,550 **1 mark No extraneous items**	**6**	Heading and profit for year are both required to gain award mark. Correct effect is essential to gain award mark ie Interest on Drawings added and Interest on Equity and Salary deducted. If original profit of 35,000 is used as residual profit award 0 mark, do not treat as consequential.

Question			Expected Answer(s)	Max Mark	Additional Guidance
		(ii)	**Current Account - Claire Mckay** **Dr** **Cr** **Balance** Interest on Equity 2,500 ✓ 2,500 Share of Profit 17,700 ✓ 20,200 Partnership Salary * 5,000 ✓ 25,200 Drawings 10,000 ✓ 15,200 Interest on Drawings 200 ✓ 15,000 **Current Account - Sean Cahill** **Dr** **Cr** **Balance** Interest on Equity 1,250 **1** 1,250 Share of Profit 8,850 **1** 10,100 Loan Interest * 800 **1** 10,900 Drawings 5,000 **1** 5,900 Interest on Drawings 100 **1** 5,800	**5**	Mark awarded for correct entry in both current accounts. *1 mark is allocated if both partnership salary and loan interest * are entered correctly in the appropriate Current Account, however if Loan is included lose award. Award 3 marks if complete reversal. If an error is made in the running balance or if no current account is shown, lose award mark from first item only. If Equity balance is included lose Interest on Equity award.

Question			Expected Answer(s)					Max Mark	Additional Guidance
	(b)	(i)	**Revaluation of Assets**					**4**	Any incorrect revaluation of asset, lose one award mark to a maximum of 2. If Goodwill is recorded in Revaluation Account lose 1 mark. If revaluation of assets is a complete reversal gain one award mark. Loss on revaluation label or negative number shown to gain award mark. Watch for consequentiality.
			Property (Premises)			£6,600			
			Machinery			-£3,600			
			Delivery Vans			-£2,000			
			Inventory (Stock)			-£8,000	**2**		
			Revaluation Costs			-£2,000	**1**		
			Loss on Revaluation			-£9,000	**1**		
		(ii)	**The new profit sharing ratios**	**Claire McKay**	**Sean Cahill**	**Rachael Young**		**1**	
				2/3 x 3/4	1/3 x 3/4				
				1/2	1/4	1/4			
				50%	25%	25%	**1**		

Question			Expected Answer(s)				Max Mark	Additional Guidance
		(iii)	**Up-dated Equity Accounts**				4	If a candidate omits Opening and Closing Equity lose one mark from Share of Goodwill.
				Claire McKay	**Sean Cahill**	**Rachael Young**		
			Opening Equity Accounts	£50,000	£25,000	£25,000		If any item treated incorrectly lose award.
			Loss on Revaluation	£6,000	£3,000		**1**	
				£44,000	£22,000	£25,000		If Share of Profit is included lose the Loss on Revaluation award.
			Share of Goodwill	£8,000	£4,000		**2**	
				£52,000	£26,000	£25,000		
			Goodwill written off	£6,000	£3,000	£3,000	**1**	If Current Account balances are included, ignore.
			Closing Equity Accounts*	£46,000	£23,000	£22,000		

[END OF MARKING INSTRUCTIONS]